

Juan Pablo de Legarreta

NETC 180 – Information Risk Management

Module Six Assignment

Risk Assessment

A risk assessment is a powerful tool in any risk management toolkit. Risk assessments identify and evaluate risks so controls can be chosen to mitigate them. These controls can be implemented and documented, with reviews and updates as the need may arise. This is a risk assessment from the RG Enterprises case study specifically focused on the organizational risk linked to the use of black Henna paste in dyeing the merchandise. The assessment has four parts:

1. An analysis of the selected risk
2. A risk matrix detailing the likelihood and impact of the selected risk
3. Mitigation strategies for the selected risk
4. The preferred mitigation strategy

Risk Analysis

Operational risks occur when “the day-to-day running of a company fails to perform,” and affects customers. (Failory) The use of black Henna paste in the manufacturing of RG Enterprise’s merchandise indeed falls into this category. To accurately analyze the risk, one might begin by finding out who might be harmed and how. (Andales; Lucidchart) According to WebMD, Henna paste dyes the top layer of skin, and usually lasts anywhere between a few days up to 6 weeks, depending on how much sun and water exposure it gets. (Altomara) This means that, depending on the concentration of henna paste in the clothing, it could stain the skin of customers for days or even weeks. It could potentially also stain their other clothing when washed, staining or ruining other articles of the customers’ clothing. While the stain is not toxic or otherwise harmful to the human body, it can clearly be a nuisance, especially when people are not expecting to have their skin stained. The risk of stains also applies to the RG Enterprises

employees who come into direct contact with the dye as they make the clothing for sale. The impact of this risk could be lawsuits, sunk costs on pulled merchandise, costs for refunding customers, loss of revenue due to loss of reputation, and additional operational costs to replace the dye with an alternative and cleaning (or replacing altogether) equipment that came into contact with the Henna dye.

Risk Matrix

The risk matrix measures the level of risk of a particular event or situation based on the impact and likelihood of the event itself. As the likelihood and impact of the event increase, so does its level of risk. Low impact, low likelihood events pose a low risk, while catastrophic impact, definite likelihood events pose extreme risk. In the RG Enterprises case study, the use of Black Henna Paste is likely, though the impact is marginal. The intersection of these two values is circled in blue and indicates a Medium Risk.

Likelihood > Impact v	Very Unlikely	Unlikely	Possible	Likely	Definite
Catastrophic	Medium Risk	High Risk	Extreme Risk	Extreme Risk	Extreme Risk
Critical	Low Risk	Medium Risk	High Risk	Extreme Risk	Extreme Risk
Moderate	Low Risk	Medium Risk	Medium Risk	High Risk	Extreme Risk
Marginal	Low Risk	Low Risk	Medium Risk	Medium Risk	High Risk
Insignificant	Low Risk	Low Risk	Low Risk	Medium Risk	Medium Risk

The use of black Henna paste is a medium risk, which indicates that action should be taken soon to manage this risk. It's worth noting that the case study does not *explicitly* state that black Henna paste is used, and therefore there is not enough information to assess the likelihood as "Definite." If the black Henna paste was *definitely* being used, the risk level would increase to

High and more immediate action would be required. Nevertheless, to manage this Medium-level risk, several strategies must be put in place.

Risk Mitigation Strategies

There are several mitigation strategies that RG Enterprises could implement in order to mitigate or manage this risk. To address the skin dyeing, RG Enterprises can:

1. Replace the dye with a suitable alternative
2. Provide its employees with compensation over the dye
3. Pull affected products from the inventory
4. Thoroughly clean out the equipment that came into contact with the dye

To address its customer base, RG Enterprises can:

1. Recall the affected sold merchandise
2. Offer to refund the customers
3. Offer to replace their affected merchandise with new, non-staining alternatives
4. Offer to provide an in-store credit for new purchases

To address the reputation of the company, RG Enterprises can:

1. Put out an apology through a press release and get ahead of the situation
2. Put an announcement on its website about all of the materials and dyes it uses, and spin it as a marketing plus (organic materials, safe processes, environmentally conscious, etc.)
3. Reach out to customers making the accusations and resolve their issues to avoid further reputational damage

Preferred Mitigation Strategy

RG Enterprises is in a tough position, facing many risks on different fronts and experiencing a serious financial bind. Despite its constraints, my suggestion would be to do the following:

1. Put out a press release with an apology announcing a recall of the merchandise
2. Offer to replace the merchandise or offer in-store credit for new purchases to customers
3. Reach out directly to customers making the original accusations and do some damage control
4. Replace the dye with an alternative
5. Take advantage of the shift to rebrand the products and processes as organic, earth-friendly, etc. to push past the situation

RG Enterprises might be tempted to replace the dye quietly and not make a big deal out of something that so far has not become too big a situation to handle. It could try to avoid any further repercussions by sweeping the problem under the rug and individually handling complaints as they come up. However, as the risks multiply with all of the other conditions and situations that it currently faces, RG Enterprises could begin to turn the tide with a risk that has a lesser impact than others on its plate. Dr. Tracy Brower, a sociologist who is an expert on the workplace, suggests that humility and admitting mistakes is a huge sign of leadership and boosts a sense of community. (Brower) By owning up to the mistake and proactively dealing with the situation, RG Enterprises may incur higher costs up front than if it had quietly handled the situation. These costs would be much smaller than those it could incur if it chooses not to take ownership of the situation and have it blow up into class-action lawsuits, terrible press, or boycotts. RG Enterprises could also cut some costs by not refunding the customers but replacing their merchandise. This would incur a loss on the cost of the new merchandise and labor as opposed to returning the full income for the merchandise in the first place.

To help with its reputation, RG Enterprises could seek to involve the customers who made the accusations in some sort of search for a new dye or to promote its new practices and dyes. To this effect, RG Enterprises could take advantage of sourcing a new dye to try and rebrand itself as an organization that cares about its customers and uses environmentally friendly or responsible dyes and materials, potentially turning its reputation around and becoming more attractive to new markets or customer bases. Taking a bad situation and using it to its advantage as a strategy would be an efficient way to handle this and many of the other risks that RG Enterprises faces.

With a combination of actionable change, getting ahead of the situation, controlling the narrative, and rebranding itself, RG Enterprises can come out of this situation stronger, making a new name for itself and building up its market appeal, customer base, and reputation. RG Enterprises can also use strategic measures in this endeavor to minimize the cost of making these changes and allow its resources to be spread out to be able to manage more of the risks it faces.

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